

Retail Terms Explained Simply (with Examples)

1. ATV – Average Transaction Value

What it means:

Average amount a customer spends per bill.

Formula:

ATV = Total Sales ÷ Number of Bills

Example:

- Store Sales = OMR 10,000
- Number of Bills = 200
- **ATV = 10,000 / 200 = OMR 50**

In training ROI:

If you train staff on upselling and ATV goes from **OMR 50 → OMR 60**, training is working.

2. UPT / UTV – Units Per Transaction

(UTV = Units Per Bill, same meaning)

What it means:

How many items a customer buys in one bill.

Formula:

UPT = Total Units Sold ÷ Number of Bills

Example:

- Total units sold = 500
- Bills = 200
- **UPT = 500 / 200 = 2.5 units per customer**

In training ROI:

If after training on cross-selling UPT increases, training impact is measurable.

3. DSR – Daily Sales Report

What it means:

A daily summary of sales performance.

Typically includes:

- Sales done
- Footfall
- Conversion
- ATV
- UPT
- Best sellers
- Slow movers

In training ROI:

Compare pre-training DSR vs. post-training DSR to measure improvement.

4. Conversion Rate**What it means:**

Out of all customers who walk into the store, how many buy something.

Formula:

Conversion % = (Customers Who Bought ÷ Total Footfall) × 100

Example:

- Footfall = 300
- Bills = 120
- **Conversion = (120 / 300) × 100 = 40%**

In training ROI:

If staff are trained on customer handling and conversion goes up—ROI achieved.

5. Footfall**What it means:**

Number of people entering the store.

Example:

250 customers walked in = **Footfall = 250**

Used for: Planning manpower, promotions, store capacity.

6. Sell-through Rate**What it means:**

Percentage of stock sold vs. what was received.

Formula:

Sell-through = (Units Sold ÷ Units Received) × 100

Example:

Received 100 jackets; sold 60 → **Sell-through = 60%**

Training ROI:

Better product knowledge = faster sell-through of key SKUs.

7. Stock Turnover / Inventory Turnover**What it means:**

How quickly the stock is moving (higher is better).

Formula:

Stock Turnover = Cost of Goods Sold ÷ Average Inventory

Example:

You sell inventory worth OMR 20,000 but average stock value is OMR 10,000 →

Turnover = 2 times per period

8. Shrinkage**What it means:**

Loss of stock due to theft, damage, miscounts.

Example:

Expected stock = 100

Actual = 97

Shrinkage = 3 units

Training ROI:

Loss prevention training reduces shrinkage.

9. ASP – Average Selling Price**What it means:**

Average price at which each item is sold.

Formula:

$$\text{ASP} = \text{Total Sales} \div \text{Total Units Sold}$$

Example:

Sales = OMR 5,000

Units sold = 250

$$\text{ASP} = 5,000/250 = \text{OMR } 20$$

10. GM – Gross Margin**What it means:**

Profit percentage after subtracting the product's cost.

Formula:

$$\text{GM\%} = (\text{Selling Price} - \text{Cost Price}) \div \text{Selling Price} \times 100$$

Example:

Sell at 20 OMR, cost is 10 → GM = 50%

11. SOP – Standard Operating Procedures**What it means:**

Guidelines on how staff should work—store opening, cash handling, customer service, etc.

Training ROI:

Higher SOP compliance = smoother operations + less errors.

12. Mystery Shopping Score**What it means:**

A secret evaluation of customer service quality.

Training ROI:

Score improves = training is paying off.

13. Attach Rate

What it means:

How many add-on items a salesperson sells with the main item.

Example:

Selling a mobile → add screen guard & cover → 2 attachments.

14. Basket Size

What it means:

The value of items in a customer's basket.

Similar to ATV but sometimes used for total number of items + value.

15. SOP Compliance Rate

How well staff follow the company processes.

How These Terms Help You Derive TRAINING ROI

Here's how you can show the **impact of training**:

KPI	Related Training	How ROI Shows
ATV	Upselling skills	Increase in avg bill value
UPT	Cross-selling	More items per bill
Conversion	Customer engagement	More buyers from same footfall
Sell-through	Product knowledge	Faster movement of seasonal/hero products
Shrinkage	Loss prevention	Lower stock loss → real savings

Mystery Shopper Score	Customer service	Higher scores validate training
SOP Compliance	Operational training	Fewer errors, better consistency

A simple ROI formula for you:

$$\text{ROI} = (\text{Post-Training Performance} - \text{Pre-Training Performance}) \div \text{Training Cost} \times 100$$

Example:

- Pre-training ATV = 50
- Post-training ATV = 60
- Store makes 200 bills/day → +2000 OMR/day
- Training cost = 5,000 OMR
- ROI achieved in **2.5 days**